

EG Update

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【メール原文】

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Dear Satoshi,

I'm Heather West, taking the reins from Ian on the eg update this week. For those I haven't met, I'm the new Geo-technology practice head—I've spent twenty years working on tech and policy, most of it inside tech companies, where questions later recognized as geopolitical were first treated as engineering and business problems.

I recently returned from Hacker Summer Camp, the annual pileup of security conferences in Las Vegas. Cyber capabilities that produce alarmist headlines are discussed there as old news: AI-orchestrated intrusions, state-aligned actors penetrating critical infrastructure, and attack tools anyone can download and run. Tech companies are on the front lines—so everyone else is too. Nobody is panicking because these capabilities have developed over many years and are already priced in.

Back on the East Coast, the same capabilities land as revelations.

This kind of gap is the most interesting thing I've seen in my two and a half months at Eurasia Group. Cybersecurity pros are right that few of these capabilities are technically new, even though their use is accelerating—and increasingly in the limelight. Practitioners rarely stop to ask why states are choosing to use them now. Geopolitical analysts, conversely, ask exactly that, but without the technical baseline to judge how alarming the headline should be.

I was recently discussing a successful AI-driven attack against Taiwanese government systems, including a nuclear safety regulator and energy companies. I read it as technically unremarkable and geopolitically striking. A colleague read it the other way around. Neither of us was wrong; each of us was impressed by the part we knew least and discounted the part we knew best. And there were novel aspects to this attack—it was conducted on self-hosted AI infrastructure and using open models—though those details weren't captured in the headlines.

Cybersecurity is usually treated as a technical problem with business consequences, and it certainly is. But with increasing activity by state actors, a US-China rivalry pushing capable AI models into the open, sophisticated offensive capabilities spreading beyond the great powers, no one able to set rules, and commercial firms increasingly drawn into geopolitical rivalries ... cyberattacks are also a central element of the G-Zero order.

Cyber statecraft, now for everyone

Cyber is both powerful and ambiguous. It is cheaper than kinetic war, harder to attribute than sabotage, easier to calibrate than sanctions, and more deniable than overt actions. As a result, its use has historically stayed below the threshold that triggers a kinetic military response. In a fragmented system, that combination is attractive—especially to thinly resourced players, for whom it is a perfect weapon.

This is not to say that states have suddenly discovered cyber. Sophisticated campaigns by the US, Israel, China, Russia, and others have surfaced over the past decade. Stuxnet (degrading Iran's nuclear enrichment equipment) was a shock in 2010, with the precedent set by Washington and Israel in a long, involved, and complex operation. But in the age of AI cyber capabilities, it's now much easier to design and orchestrate these kinds of attacks. Capability is no longer the main constraint, and targets are everywhere in our always-connected world.

Most successful attacks still run on mundane exploits—exposed operational technology, insecure telecom environments, supplier relationships, commodity tooling, phishing. Recent Iranian intrusions into US water systems succeeded because the systems were poorly secured, not because the attacks were clever. The old truism still holds: The defender has to cover every entrance, and the attacker only needs to find one. The conversation has rightly been focused on AI's ability to find new exploits. Still, its most dangerous contribution may be the opposite: It compensates for the expertise that less-skilled actors lack, lowering the barrier to unsophisticated attacks. Sophisticated defenders get nowhere near the same boost from AI. What has changed is the number of actors who can go on this scavenger hunt; cyber is beginning to look like a general-purpose instrument of statecraft.

Cyber is also used in support of other operations. When the US went into Venezuela to capture Nicolas Maduro, US military actors coordinated cyber operations to black out parts of the capital and blind military radars, allowing aircraft to enter Venezuelan airspace undetected. Russia used cyber effects to burn out satellite internet receivers on the ground before it invaded Ukraine. Israel has long run sophisticated operations against Iran and other adversaries.

Approximately three dozen nations have been credibly linked to offensive operations in the last two decades. But what was covert practice is increasingly becoming declared policy: Japan passed its Active Cyber Defense Law and says its Self-Defense Forces may begin offensive operations as early as October—an example of a capable state going on offense openly, under law. Meanwhile, Washington's National Cyber Strategy, released in March, frames offensive operations as a routine instrument of statecraft, and a new executive order calls for the use of private firms' capabilities in offensive campaigns against criminal organizations. That looks nothing like the loosely affiliated actors operating from Iran, North Korea, and, at arm's length, China and Russia, where the connections are deliberately obscured. Those actors don't wear their flags on their sleeves, and attribution is slow, contested, and usually the work of a private firm rather than a government.

The US-China contest raises the stakes, but not because they're attacking each other

China's cyber ecosystem rivals, and in places surpasses, that of the US, and Chinese state-linked actors have staked out positions within US critical infrastructure. The Typhoons (a family of cyberattacks attributed to Chinese-affiliated actors) are the clearest example: Rather than attacking, they compromised multiple critical infrastructure sectors in the US and elsewhere to hold a position for future operations. Between major powers, restraint on use still holds, so major visible operations are rare. Actors realize that economies are deeply digitized, exposed to reciprocal action, and that access spent is access lost. Restraint on positioning, though, is gone.

More importantly, the US-China rivalry is accelerating the release of open, cyber-capable AI models and tooling. Actors no longer need to use anyone else's platform; instead, they download capable tools and run them on their own infrastructure. The Taiwan operation ran this way, and it is likely to become the norm to avoid platform oversight.

The same dynamic can cut against defenders. Following the breach of Hugging Face—a platform for sharing open-source AI resources—its investigators turned to a Chinese open model to determine what had happened after US commercial models declined on cybersecurity grounds. Safety controls intended to constrain attackers also constrain defenders, since the model provider can't distinguish between them.

The proliferation of open-source AI models also creates dependencies among states and firms that adopt systems whose governance, security assumptions, or political alignment they do not control. The contest is not only about who has the best model. It is about infrastructure, standards, dependencies, and the leverage all three confer.

Cyber is an equalizer for middle powers

Another major shift is wider access to advanced capabilities beyond the top tier. A middle power doesn't need a world-class conventional military to generate leverage. It can buy capabilities, hire expertise, use commercial intrusion markets, partner with private actors, and increasingly rely on AI-enabled tools to close the gap with stronger rivals.

Iran is an instructive case. Its cyber activity shows how a state with limited conventional options can still use digital operations for signaling, retaliation, and pressure, including against civilian infrastructure. Iran's activity has long been dominated by hacktivism, but its positioning within US water systems appears more strategic: a reciprocal option against the same class of targets it has seen attacked. Cyber offers Iran a proportionate response without broader escalation.

Cyber is becoming an equalizer in a fractured system—not because it makes actors equally powerful, but because it gives many more of them a usable instrument of coercion unbound by borders, distance, physical and normative constraints. Going after civilian water systems, hospitals, fueling infrastructure, and digital infrastructure is, unfortunately, a taboo long since broken.

In a G-Zero world, nobody is writing the rules

Global norms are eroding; in a less fragmented world, we might have already established and enforced rules for cyber. No state can organize restraint now, and a deal among superpowers wouldn't bind anyone else. Conventional force requires commitment. Cyber lets states probe, pressure, and pre-position—often without consequence, sometimes without notice.

What restrained attackers was never an intentional architecture. The internet was built to be decentralized and resilient, not to referee state competition. In this world, serious capability was expensive and built at home, proxies depended on Western-adjacent infrastructure, escalation was frightening because nobody knew where the ceiling was, and linkage to operations carried consequences.

There have been efforts to create a governance structure. In March, all 193 UN states launched a permanent forum on responsible cyberspace behavior after decades of discussion, but it lacks teeth. Contested issues were excluded, implementation was deferred, and norms questions were left open. What was agreed: to keep meeting. That same month, Washington published its National Cyber Strategy, which seemingly ignores the (still-in-place) executive order governing how the government procures offensive tools.

Other efforts do exist. The US restricted federal use of commercial hacking tools in 2023, and the multistakeholder Pall Mall Process has tried to govern the commercial intrusion market (with 27

countries signing on to principles, but little sign of implementation). Commercial tools represent the most actionable target available because, unlike state actors, the private sector has chokepoints: investors, jurisdictions, payment channels, and customers.

But these efforts face the challenges of a fragmented global order, wider diffusion of capabilities, intensifying great-power competition, and the growing appeal of cyber to middle powers seeking leverage. Which raises the obvious question: If more actors hold better tools without traditional constraints on use, why are we not seeing more spectacular attacks? Spectacle is rarely the objective—most operations are about access, and using access destroys it. Destructive effects are hard to control and hard to keep quiet, and a visible hit still invites retaliation. And it's important to remember that the activity is happening; it is just quiet, continuous, and slow to surface.

Yet constraints remain. States still weigh escalation risk, retaliation, alliance politics, diplomatic costs, and their own exposure to reciprocal action. But those constraints are thin, not rooted in stable norms. And if you are punching up, they may not feel especially restrictive.

Industry is the new front line

The systems here are commercial and run by telecoms, hyperscalers, software firms, satellite providers, logistics platforms, and cable operators—not governments. In the opening weeks of Russia's invasion, Ukraine migrated government systems, registries, and archives to foreign commercial cloud infrastructure. Commercial threat intelligence teams identified and blunted attacks aimed at Ukrainian networks. A satellite operator kept the country connected. This collaboration, accepted by companies—not mandated—has generally protected Ukraine's cyber advantage. Those firms became participants in a war, and they did so without any of the protections or legal standing of a state.

Tech companies are implicated even if they are not defense contractors or national security targets. They carry traffic, store data, provide compute, distribute software updates, or sit inside a supply chain that others depend on. I can't think of a single firm that isn't reliant on shared digital infrastructure. Enterprise risk management, still necessary, cannot manage this new situation. As governments draw private firms into offensive action, even against criminals, the line between a company defending itself and acting as a state actor is blurred.

These firms have capabilities rivaling intelligence services, global visibility into government processes, and, potentially, the ability to seize infrastructure and dismantle criminal networks. They can defend, disrupt, and even evict, but they cannot deter or negotiate. They hold the front line without being able to end the fight.

Where cyber goes from here

We are headed into a period of cyber disruption. The change is who holds the tools, and what they intend to do with them. A capability that once required a decade and a national program now requires neither, and the actors picking it up are not the ones who spent twenty years arguing about how it should be used. The internet was not architected for this new environment, and most of us did not sign up for it.

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Attribution gets slower and more contested. Operations running on self-hosted models leave fewer traces, pushing attribution back toward human intelligence and forensics—a slower, more contestable, more visibly political process. Expect more incidents where deniability holds.

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Operations become continuous, at least for positioning. Agentic tooling makes persistent low-grade probing cheap to run. The result is not more headline events but more noise in the system, and a harder time telling a probe from a message, which is not a reason for comfort.

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State use splits into two camps. Japan's model is an open, rule-based acknowledgment of offensive intent under domestic law, with declared constraints. More capable states could take that route. Others will choose ambiguity, because ambiguity still works.

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Pressure moves toward the seams. The infrastructure behind the digital world is high-impact and structurally exposed, which makes it appealing to anyone planning real disruption. Subsea cables and satellite infrastructure are one category; data centers and their connectivity are another. All of it spans public and private ownership, and attacks against it are easy to deny.

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The wildcard. None of this is comfortable, but the kind of event likely to break the status quo is worse. An incident with unambiguous casualties or systemic economic disruption would force the conversation on norms, but only after the damage has been done.

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Commercial actors could set norms. The Global Mechanism will keep meeting, and processes like Pall Mall could create real points of leverage in market rules. But five years out, governance will remain uneven. I wouldn't be surprised if industry, rather than governments, sets norms in the meantime, even if only at a technical level. Governments will still be catching up.

The cybersecurity pros are right that the exploits are old news. Geopolitical pros are right that something has changed. The cost spanning that gap lands on the companies that carry the traffic, store the data, and run the infrastructure; on the teams standing across from states; and the rest of us, downstream. The front line moved, and it moved to you.

All the best,

Heather

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